AD-HOC OPINION · CHINESE BATTERY SECTOR

CATL: the battery leader, caught in an earnings reset

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The big picture: battery demand is strong, the profit pool is being shared

China's economy runs at two speeds. Exports rose 25% year on year in August and advanced manufacturing is growing fast, while retail sales barely grow and the credit impulse, at −4.1, is still negative. Batteries belong to the strong side: they are one of the country's leading export and technology industries.

Demand is not the problem. Global electric-vehicle battery usage rose 16% in the first five months of 2026, and seven Chinese makers now hold almost three quarters of the market. In September, Chinese battery sales rose 52% year on year and storage batteries more than doubled (+104%). Storage, driven by solar and wind power and by data centres for artificial intelligence, now makes up about a third of Chinese battery sales.

Carmakers, by contrast, are squeezed by a long price war at home. They push their suppliers for lower prices and add second suppliers to gain bargaining power.

Beijing is also taking a bigger share. The export VAT rebate on batteries was cut from 9% to 6% in April 2026 and will disappear on 1 January 2027. A 2% consumption tax on lithium batteries has applied since 1 September 2026 and doubles to 4% in September 2027.

Trade remains a constraint. The US market is largely closed to Chinese battery suppliers, and Europe charges extra duties on Chinese electric cars, which pushes battery makers to build plants locally.

What this means for investors. We remain cautious on the broad Chinese market but favour selected leaders in advanced manufacturing. In batteries, the potential winners are the companies with the scale, technology and balance sheet to absorb taxes and price pressure. The question is less how fast volumes grow than how much of that growth reaches shareholders.

CATL IN THREE POINTS

- **Long term positive.** CATL remains the strongest battery franchise in the world, with scale, technology, customer trust and a balance sheet that rivals struggle to match.
- **Near term cautious.** Third-quarter profit grew far less than sales. New taxes, tougher customers and a lower-margin product mix weigh on profit per battery sold, and the fourth quarter carries the new tax in full.
- **Cheap, not yet free of risk.** At 11.2 times expected 2026 earnings, the share is at its lowest valuation since its 2018 listing, but earnings estimates are still being cut.

CATL

300750 CH, 3750 HK

The quality leader in batteries, going through an earnings reset rather than a decline

Share price	P/E on 2026 earnings	12-month range	Net profit, 9M 2026
CNY 227.90	**11.2x**	**227.9 to 460.0**	**CNY 64.5bn**
–12.0% on 21 October	19.4x average since 2023	CNY	+31.6% year on year

1. What the company does

CATL (Contemporary Amperex Technology) is the world's largest battery maker. It supplies batteries for electric and hybrid cars, buses and trucks, and large systems storing electricity for grids, factories and data centres. In 2025 it sold 661 GWh of batteries, 39% more than a year earlier: 541 GWh for vehicles and 121 GWh for storage. The shares are listed in Shenzhen and, since May 2025, in Hong Kong.

2. Why it could do well

- **Still the leader, and still gaining.** CATL supplied 40.2% of the world's electric-vehicle batteries from January to May 2026, 2.2 points more than a year earlier. It also ranked first in storage-battery shipments in the first half.
- **Storage is a second engine.** Storage revenue rose 88% to CNY 53.3bn in the first half of 2026, about a fifth of sales, with a gross margin close to 24%. This business depends much less on carmakers.
- **Strong growth, plenty of cash.** Revenue rose 56% to CNY 442bn in the first nine months of 2026. Operating cash flow reached CNY 133bn in 2025, and the company has proposed buying back CNY 20 to 40bn of its own shares.

3. What sets it apart

Its scale is hard to copy: 772 GWh of capacity at the end of 2025, another 321 GWh under construction, and CNY 22bn spent on research in 2025. The range covers cheaper LFP cells, high-performance nickel cells, fast-charging Shenxing and Qilin batteries and sodium-ion. CATL also owns lithium, nickel and phosphate resources, and builds plants in Germany, Hungary and Spain to serve European carmakers locally.

4. Cheap, or a value trap?

At CNY 227.90, the share trades at 11.2 times expected 2026 earnings, its lowest level since the 2018 listing on Bloomberg data, against an average of 19.4x since 2023. It has fallen 38% since the start of the year and is about half its May high, while expected 2026 earnings are still 6% higher than in January. We do not see a value trap: profits are growing and the balance sheet is strong. But estimates are being cut (–3.6% since April) and the fourth quarter bears the new tax in full, so the low multiple could last.

5. Main risks

- **Margins.** Customers have not yet agreed to share the new consumption tax. Management said fourth-quarter profit per unit could look like the third quarter's if this is not resolved.
- **Customers diversifying.** Carmakers under pressure add second suppliers to win better prices.
- **Geopolitics.** The US market is largely closed and Europe could tighten its rules; new overseas plants add execution risk.
- **Cash flow.** Operating cash flow fell 24% in the first nine months as CATL paid suppliers faster and in advance.

6. What to watch next

Agreements with customers on sharing the tax, the fourth-quarter margin with the annual results, the ramp-up in Hungary, the execution of the buyback, and storage and sodium-ion deliveries.

Conclusion

CATL is a high-quality compounder caught in a tax- and price-driven earnings reset, not a structurally impaired business. We are positive over two to three years but cautious over the next few quarters: the valuation reflects a lot of bad news, yet the market would likely need proof that margins are stabilising before paying more. For a long-term investor, a gradual approach would suit this mix better than a single entry.

CATL: a closer look

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Growth is intact; the question is how much of it reaches shareholders

KEY FIGURES, CNY BN

	FY2023	FY2024	FY2025	9M 2026	Q3 2026
Revenue	400.9	362.0	423.7	442.1	165.2
Change year on year	+22.0%	–9.7%	+17.0%	+56.2%	+58.6%
Net profit attributable to shareholders	44.1	50.7	72.2	64.5	21.2
Change year on year	+43.6%	+15.0%	+42.3%	+31.6%	+14.5%
Net margin	11.0%	14.0%	17.0%	14.6%	12.9%
EBITDA margin	18.8%	24.1%	27.1%	n.a.	n.a.

Source: CATL annual, interim and quarterly reports; EBITDA margin: Bloomberg; net margin: Syz calculation (net profit / revenue).

Why the third quarter disappointed

Third-quarter revenue rose 59% year on year to CNY 165.2bn, but net profit rose only 14.5% to CNY 21.2bn, about 6% less than in the second quarter: the slowest profit growth in almost two years. The net margin fell to 12.9%, from 15.6% in the first half, and the gross margin to about 21%, from about 23% in the second quarter.

Four factors explain most of the gap: a larger share of storage systems, which include bought-in parts and earn a lower percentage margin; the first month of the new consumption tax; the first full quarter of the lower export VAT rebate; and impairments of about CNY 1.7bn, mostly on inventories after swings in lithium prices. Nine-month operating cash flow fell 23.6% to CNY 61.6bn, which management puts down to faster and advance payments to suppliers, not weaker demand.

Four growth engines beyond the passenger car

Energy storage

First worldwide in storage-battery shipments in the first half of 2026. CATL increasingly sells complete systems, such as its TENER range, with installation and service: more value per project, but a lower percentage margin.

Sodium-ion

A second chemistry that needs no lithium, suited to grid storage, low-cost cars and cold climates. An agreement signed in April 2026 covers 60 GWh of sodium-ion batteries for storage over three years. A milestone to verify, not yet a profit driver.

Battery swapping

Choco-swap stations for cars and swap stations for heavy trucks (305 at the end of 2025, 900 planned for 2026). Swapping could lower vehicle prices and bring recurring income, but stations only pay off if heavily used.

Plants abroad

Germany is producing, trial production started in Hungary in September 2026, and a 50 GWh joint venture with Stellantis is being built in Spain. Local plants ease trade friction but add execution and political risk.

What would strengthen our view

- Customers agree to share the consumption tax and the end of the export rebate.
- The gross margin holds near current levels in the fourth quarter despite the full tax.
- Storage keeps growing fast without further margin dilution.
- On-time ramp-up abroad, and the buyback carried out.

What would change our view

- Lasting share loss in China as carmakers move to second suppliers.
- The price war spreads to storage batteries.
- New US or European restrictions on Chinese battery makers or their licences.
- Cash flow stays weak after supplier payments normalise.

CATL: charts

300750 CH

Chart 1 · CATL: the share has fallen below a declining 200-day average

Daily close in CNY with 40-day and 200-day moving averages



The share fell below its 200-day average in early September and lost 12% after the results. The April 2025 low at CNY 211.4 is the level to watch on the downside; a move back above the 200-day average, now CNY 376, could signal the end of the downtrend.

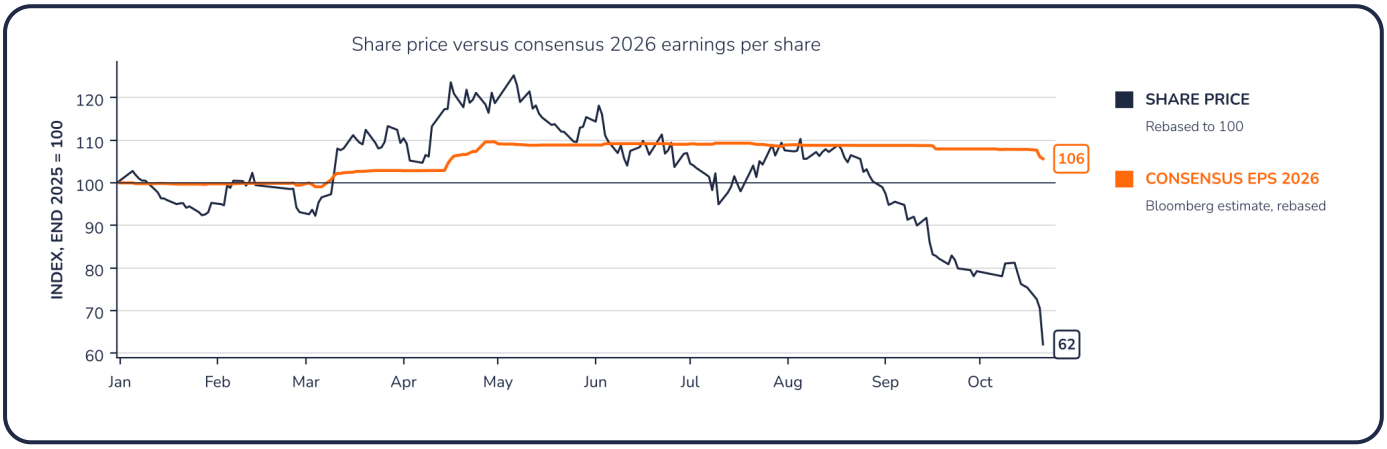
Chart 2 · CATL: valuation at its lowest since the 2018 listing

Share price / consensus EPS for the current year; the ratio steps down each January as estimates roll forward



Chart 3 · CATL: share price and earnings estimates have parted ways

Share price and Bloomberg consensus EPS for 2026, both rebased to 100 at the end of 2025



Source: Syz Research, Bloomberg. Charts as of the close on 21 October 2026.

Sources

Market data, prices, moving averages, consensus earnings and valuation ratios: Bloomberg, as of the close on 21 October 2026 (CATL A-share, 300750 CH).

Company information: CATL 2025 annual report (March 2026), 2026 interim report (24 July 2026), third-quarter 2026 report (20 October 2026) and company announcements on the share buyback, the sodium-ion supply agreement with HyperStrong (27 April 2026), battery swapping and overseas plants.

Industry and policy data: SNE Research (global electric-vehicle battery usage), China Automotive Power Battery Innovation Alliance (Chinese battery sales), Ministry of Finance and State Taxation Administration (export rebate and consumption tax), as reported in press reports.

Macro backdrop: Syz Research, Research Comment China Equities, 13 October 2026. Margin calculations and technical levels: Syz Research, Bloomberg.

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